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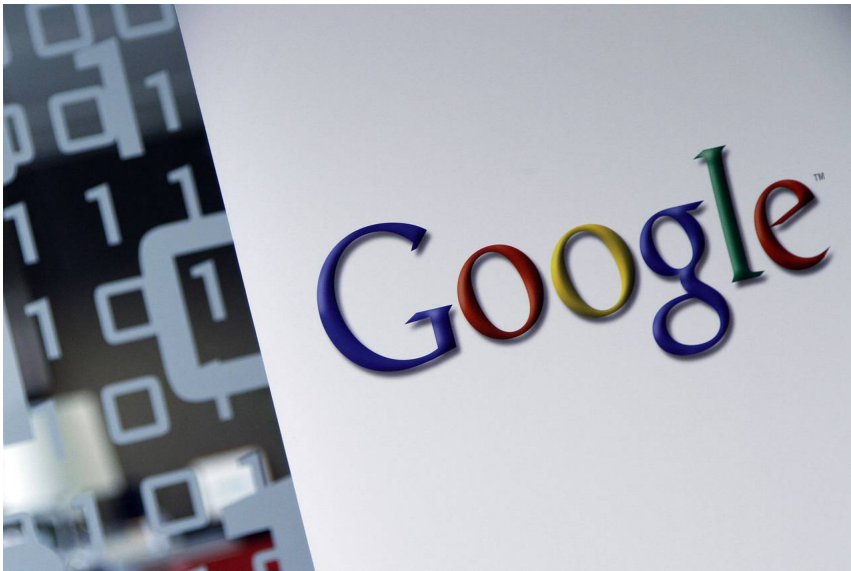
TECH

Google Parent's Earnings Fall Short of Expectations

Alphabet says operating loss from its other bets widened to \$802 million from \$633 million

By Jack Nicas

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Google has benefited as more advertisers shift online, particularly to smartphones, where Internet users spend a growing share of their time. VIRGINIA MAYO/ASSOCIATED PRESS

For Google parent Alphabet Inc., G00G **1.56%** ▲ even a small miss can have big consequences.

On Thursday, Alphabet posted healthy increases in first-quarter revenue and profits, driven by the growing strength of its core Google business on mobile devices.

The company missed Wall Street estimates, in part because of growing losses from its long-term “bets” on blue-sky projects such as driverless cars and home automation.

Alphabet shares fell 6% in after-hours trading, taking some steam out of a rally that had lifted them 46% over the past year. Alphabet remains the world's second-most-valuable company, after Apple Inc., with a market capitalization exceeding \$500 billion.

There was no single reason why earnings fell short of expectations. Revenue was a bit lower than expected, while expenses were a bit higher.

Alphabet executives pointed to increasing personnel costs and higher payments to advertising partners as more of Google's ad revenue comes from mobile devices and through middlemen.

Google is the leading digital-ad platform, and is capitalizing on the global shift to mobile by both users and advertisers, to access the Internet through mobile devices.

Google's search engine is the default on the vast majority of mobile devices. Last fall, it added a third ad atop mobile-search results, shortly after it announced that searches on mobile devices surpassed those on traditional computers for the first time.

Alphabet doesn't break out its results for mobile, but digital-marketing firm Merkle Inc. said clicks on Google's mobile-search ads more than doubled in the first quarter. This year, for the first time, researcher eMarketer projects that a majority of Google's ad revenue will come from such devices.

"Google is showing more ads in a smaller space" and thus "people are clicking them more often," said Macquarie Research analyst Ben Schachter.

The shift to mobile comes with downsides. Each ad generates less revenue, because users are less likely to follow through with purchases on a phone's small screen.

Alphabet said the average cost of a click on one of its ads, across all devices, fell 9%, compared with a year earlier. Moreover, Google must share more of its ad revenue on

smartphones with device makers and telecom carriers.

The company's first-quarter results "underscored the great momentum of our businesses globally," Alphabet Chief Financial Officer Ruth Porat told investors on a conference call. "The primary driver was the increased use of mobile search by consumers."

Ms. Porat's move to Alphabet from Morgan Stanley last year was cheered by investors, who hoped the former Wall Street executive would step up scrutiny of spending at the Internet-search giant.

There were some signs of spending restraint. Alphabet's total costs and expenses grew 16.4%, more slowly than revenue, to \$14.92 billion. Executives attributed the expense growth to robust hiring. Google added 2,300 employees during the quarter, for a total of 64,115.

A few months after Ms. Porat arrived, the company restructured itself as Alphabet, a move designed to split its profitable Google core business from its money-losing so-called other bets, such as home-automation company Nest and experimental lab X.

Thursday marked the second time the company has reported financial results for those other bets, and the unit's operating loss grew to \$802 million from \$633 million. Revenue more than doubled to \$166 million.

The new structure also was designed to provide more insight into Alphabet's finances, but the range of businesses in the "other bets" group, and the unpredictability of their revenue, has puzzled analysts and investors.

"There is likely to be lumpiness in the reported results from quarter to quarter," Ms. Porat said on the conference call. She said Nest, Internet provider Fiber and health firm Verily account for the majority of the group's revenue, while most other projects are "pre-revenue."

For the quarter, Alphabet reported net income of \$4.21 billion, or \$6.02 a share, up from \$3.52 billion, or \$5.10 a share, a year earlier.

Excluding certain items, Alphabet said it would have earned \$7.50 a share. Analysts had expected earnings of \$7.97 a share on that basis, according to Thomson Reuters.

Revenue rose 17%, to \$20.26 billion from \$17.26 billion, falling below the average analyst estimate of \$20.37 billion, according to Thomson Reuters. Excluding payments of \$3.79 billion to advertising partners, revenue was \$16.47 billion.

On a constant-currency basis, total revenue increased 23%. Google's advertising revenue rose 16% to \$18.02 billion.

Alphabet spent \$2.4 billion on capital expenditures in the quarter, down 17% from a year earlier, and less than the \$2.6 billion expected by analysts. Building new data centers and infrastructure for its Fiber Internet business partly drove the spending.

Amid the strong financial results, Alphabet faces increasing regulatory pressures. On Wednesday, European antitrust regulators filed formal charges against the company for allegedly using its dominant Android mobile operating system to benefit its search and advertising business on smartphones. The European Union is also pursuing a case against Alphabet for allegedly using its search rankings to favor its own shopping service. Alphabet has contested the allegations.

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Jack Nicas covered Google and other companies owned by Alphabet Inc. He was based in The Wall Street Journal's San Francisco bureau.

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